



CHAPTER 46.

An Act to require accountants' certificates as to compliance with the Solicitors' Accounts Rules, to establish a fund for relief in certain cases of losses due to dishonesty of solicitors, to make provision with respect to membership of the Law Society and with respect to the Council and Committees thereof, to amend the enactments relating to solicitors, and for purposes connected therewith. [11th November 1941.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :—

1.—(1) Subject to the provisions of subsection (2) of this section, every solicitor shall once in each practice year deliver to the Registrar a certificate signed by an accountant and complying with the provisions of this section (which certificate is in this section referred to as "an accountant's certificate").

*Delivery of
accountant's
certificates
to Registrar.*

(2) Subsection (1) of this section shall not apply to a solicitor who satisfies the Council that owing to the circumstances of his case the delivery of an accountant's certificate is unnecessary.

(3) The Council shall make rules (in this section referred to as "the Accountant's Certificate Rules") to give effect to the provisions of this section and by those rules shall prescribe—

- (a) what qualification shall be held by an accountant by whom an accountant's certificate may be given;
- (b) the nature and extent of the examination to be made by an accountant of the books and accounts of a solicitor or his firm and of any other relevant documents with a view to the signing of a certificate to be delivered by such solicitor under this section;

- (c) the form of the accountant's certificate which shall state—
- (i) that in compliance with this section and the rules made thereunder the accountant has examined the books, accounts and documents of the solicitor or his firm for the accounting period specified in the certificate; and
 - (ii) whether or not from his examination of the books, accounts and documents produced to him and from the information and explanations given to him the accountant is satisfied, and, if he is not satisfied, the matters in respect of which he is not satisfied, that during the accounting period the solicitor or his firm has complied with the provisions of the Solicitors' Accounts Rules; and
- (d) the evidence, if any, which shall satisfy the Council that the delivery of an accountant's certificate is unnecessary and the cases in which such evidence is or is not required.
- (4) The Accountant's Certificate Rules may—
- (a) permit that in special circumstances defined in the rules the accounting period may differ from the period specified in subsection (5) of this section; and
 - (b) regulate any matters of procedure or matters incidental, ancillary or supplemental to the provisions of this section.
- (5) Except in any case where a different period is permissible under the Accountant's Certificate Rules (in which case the period so permissible may be adopted), the accounting period specified in an accountant's certificate shall—
- (a) begin at the expiry of the last preceding accounting period for which an accountant's certificate shall have been delivered;
 - (b) cover not less than twelve months;
 - (c) terminate not more than twelve months, or such less period as the Accountant's Certificate Rules may prescribe, before the date of the delivery of the certificate to the Registrar; and
 - (d) where possible, consistently with paragraphs (a), (b) and (c) of this subsection, correspond to a period or consecutive periods for which the accounts of the solicitor or his firm are ordinarily made up.
- (6) If any solicitor fails to comply with the provisions of this section or the Accountant's Certificate Rules, a complaint in respect of such failure may be made by or on behalf of the Society to the Disciplinary Committee. The disciplinary enactments shall apply in relation to complaints under this subsection as they

apply in relation to applications to the Disciplinary Committee under those enactments.

(7) A certificate under the hand of the Secretary shall, until the contrary is proved, be evidence that a solicitor has or has not, as the case may be, delivered to the Registrar an accountant's certificate or supplied any evidence required under this section or the Accountant's Certificate Rules.

(8) Where a solicitor is employed as a public officer (as defined in subsection (2) of section four of the Solicitors Act, 1933)— 23 & 24 Geo. 5.
c. 24.

- (a) nothing in this section shall apply to him unless he takes out a practising certificate ;
- (b) an accountant's certificate shall in no case deal with books, accounts or documents kept by him in the course of his employment as such public officer, nor shall any examination be made of those books, accounts and documents under the Accountant's Certificate Rules.

2.—(1) A fund to be called " the Compensation Fund " shall be established, maintained and administered by the Society for enabling the Society to make grants thereout in any cases which the Council think suitable for such treatment and in their absolute discretion decide so to treat, for the purpose of relieving or mitigating losses sustained by any person in consequence of dishonesty on the part of any solicitor or any clerk or servant of any solicitor in connection with any such solicitor's practice as a solicitor, or any trust of which such solicitor was a trustee, and whether or not he had a practising certificate in force when the act of dishonesty was committed and notwithstanding that subsequently to the commission of that act he may have died or had his name removed from or struck off the Roll or may have ceased to practise or been suspended from practice : Compensation
Fund.

Provided that—

- (a) no grant shall be made under this section in respect of loss due to any act of dishonesty where such loss first came to the knowledge of the loser before the coming into operation of this section ; and
- (b) no grant shall be made under this section in respect of any loss unless notice of such loss is received by the Society in such manner and within such time after the same first came to the knowledge of the loser as is prescribed by rules made under this section and it is proved to the satisfaction of the Council that such loss is one in respect of which a grant may properly be made under this section.

(2) The Compensation Fund shall be held by the Society in trust for the purposes provided for in this section and the First Schedule to this Act and any rules made under this section.

(3) Subject as hereinafter provided, on the issue of a practising certificate to a solicitor there shall be paid by such solicitor to the Registrar with the fee payable in respect of such certificate under subsection (5) of section thirty-seven of the principal Act and paid by the Registrar into the Compensation Fund a contribution of five pounds or such less sum as the Council may from time to time determine (which contribution is in this section referred to as "the annual contribution"). The Registrar may withhold the issue of such certificate until the annual contribution and fee are paid:

Provided that—

- (a) in respect of the first three practising certificates issued to a solicitor after his admission, such solicitor shall be exempt from the payment of the annual contribution and, with the fee payable as aforesaid in respect of each of his next three practising certificates, the sum payable shall be only one-half of the amount of the annual contribution; and
 - (b) the Council may at their discretion exempt a solicitor from the payment of the whole or part of the annual contribution payable with the fee payable in respect of any practising certificate issued to such solicitor if he has been engaged in national service during any part of the preceding practice year.
- (4) The Society may invest in securities in which trustees are authorised by law to invest trust funds in their hands any moneys which form part of the Compensation Fund and are not immediately required for any other purposes provided for in this section and the First Schedule to this Act and any rules made under this section.
- (5) The Society may borrow money for the purposes of the Compensation Fund from any lender, provided that the sum or sums owing at any one time in respect of such loans shall not in the aggregate exceed one hundred thousand pounds and the Society may by way of security for any such loan charge any investments of the Compensation Fund:
- Provided that, so long as the making of an issue of capital in the United Kingdom, without the consent of the Treasury, is prohibited by Regulations made under the Emergency Powers (Defence) Acts, 1939 and 1940, it shall not be lawful for the Society to exercise the powers of borrowing conferred by this subsection without such consent.
- (6) The Society may insure with any person, body of persons or corporation authorised by law to carry on insurance business within the United Kingdom for such purposes and on such terms as the Council may deem expedient in relation to the Compensation Fund.

(7) The provisions set out in the First Schedule to this Act shall have effect with regard to the formation, administration and application of the Compensation Fund and matters connected therewith.

(8) On the making by the Society of any grant out of the Compensation Fund under the provisions of this section and the said First Schedule and any rules made under this section to any person in respect of loss sustained in consequence of any such dishonesty as is mentioned in subsection (1) of this section—

(i) the Society shall to the amount of such grant be subrogated—

(a) to any rights or remedies to which such person was entitled on account of such loss against the solicitor or any other person, or, in the event of the death or insolvency or other disability of such solicitor or other person, against his personal representatives or any other persons having authority to administer his estate ;

(b) to any rights or remedies to which such solicitor, his clerk or servant, was entitled on account of such loss against any other person, or, in the event of the death or insolvency or other disability of such other person, against his personal representatives or any other persons having authority to administer his estate ; and

(c) to all other rights and remedies (if any) of the person to whom the payment is made or such solicitor, his clerk or servant, in respect of such loss ; and

(ii) the person to whom the grant is made, or, in the event of his death or insolvency or other disability, his personal representatives or any other persons having authority to administer his estate shall have no right under bankruptcy or other legal proceedings or otherwise to receive any sum out of the assets of such solicitor or other person in respect of the loss until the Society has been reimbursed the full amount of its grant.

(9) The Council may make rules with respect to the procedure to be followed in giving effect to the provisions of this section and the provisions of the First Schedule to this Act other than paragraph 5 and sub-paragraphs (2) and (5) of paragraph 4 thereof and with respect to any matters incidental, ancillary or supplemental to those provisions or concerning the administration or protection of the Compensation Fund.

3.—(1) On the issue of a practising certificate to a solicitor, he shall pay to the Society with the fee payable by him in respect of such certificate under subsection (5) of section thirty-seven

Membership
of Society.

of the principal Act the annual subscription payable for the time being by members of the Society and shall thereupon, notwithstanding anything in the Charter or in any byelaw or regulation of the Society, become, by virtue of this Act and without election or appointment by the Council, a member of the Society and be subject to any byelaw or regulation of the Society for the time being affecting such member :

Provided that every solicitor to whom a practising certificate is issued before the sixteenth day of December in any practice year shall on payment of the said annual subscription be deemed to have become a member of the Society on the sixteenth day of November in such practice year.

(2) The Registrar may withhold the issue of a practising certificate until the annual subscription is paid.

(3) Every solicitor who shall become a member of the Society under subsection (1) of this section shall, subject to the provisions of subsection (7) of this section, remain a member until the end of the current practice year.

(4) Notwithstanding anything in the Charter, the Council may appoint and elect to be a member of the Society any person whose name is for the time being on the Roll, whether or not he has held a practising certificate, and upon appointment and election and payment of the annual subscription in accordance with any byelaw or regulation of the Society such person shall become a member of the Society and be subject to any byelaw or regulation of the Society for the time being affecting such member.

(5) Any person who, in pursuance of the provisions of this section, is for the time being a member of the Society shall be eligible for election as a member of the Council.

(6) The amount of the annual subscription payable by members of the Society shall be fixed from time to time by the Council ; in fixing the amount of the annual subscription, the Council shall be at liberty to divide members into classes, and to provide that different amounts shall be paid by different classes and extend over different periods, and generally to regulate, and from time to time to vary, the subscriptions payable by members or by different classes of members as the Council may think fit.

(7) When a solicitor who is a member of the Society has his name, whether at his own request or otherwise, removed from or struck off the Roll by an order of the Disciplinary Committee under the disciplinary enactments, he shall thereupon cease to be a member of the Society.

(8) A member of the Society who is suspended from practice shall not be entitled during the period of such suspension to any of the rights or privileges of such membership.

(9) The Council may suspend any member of the Society from using the Hall and Library and any of the rooms belonging to the Society and from the exercise of all other rights and privileges of a member during such period as they may think fit for any cause which shall, in their opinion, render such suspension necessary or expedient, although not being of a nature to justify the making of a complaint by or on behalf of the Society to the Disciplinary Committee :

Provided that at least sixteen members of the Council shall be present at the meeting at which the suspension shall be resolved on and twelve at least of the members of the Council present shall consent thereto.

(10) Any member of the Society who has been suspended under subsection (9) of this section may, upon giving the notice required by any byelaw or regulation of the Society, appeal against the suspension to the next available general meeting of members of the Society, which meeting may confirm, rescind or vary the period of such suspension in any manner it thinks fit.

(11) The provisions of subsections (1), (2) and (3) of this section shall come into operation on such day as the Lord Chancellor may by order appoint after he is satisfied on a poll taken by the Council of all solicitors for the time being holding practising certificates that not less than two-thirds of those voting are in favour of the provisions coming into operation.

4.—(1) The Council may appoint a committee for any such general or special purpose as in the opinion of the Council would be better regulated or managed by means of a committee and may delegate to a committee so appointed, with or without restrictions or conditions, as they think fit, the exercise of any functions exercisable by the Council.

Appointment
of committees
of the Council

(2) The number of members of a committee appointed under this section, and their term of office, and the number of such members necessary to form a quorum of the committee shall be fixed by the Council.

(3) A committee appointed under this section may include persons who are not members of the Council :

Provided that—

- (a) at least two-thirds of the members of every committee shall be members of the Council ; and
- (b) any committee to which any functions vested in the Society as the Registrar and exercisable by the Council are delegated, shall consist wholly of members of the Council.

Re-enactment
of s. 37 (1) of
principal Act
as to

declaration by
applicant for
practising
certificate.

26 Geo. 5. &
1 Edw. 8. c. 35.

5.—(1) The following subsection shall be substituted for subsection (1) of section thirty-seven of the principal Act as amended by section ten of the Solicitors Act, 1936 :—

“(1) (a) Every solicitor applying for a practising certificate shall, in person or by his agent—

(i) deliver to the Registrar a written declaration, in the form A set out in the Second Schedule to the Solicitors Act, 1941 or in a form to the like effect approved by the Registrar, which declaration shall be duly completed and shall be signed by the applicant personally and shall have the Solicitors' Accounts Rules printed in full thereon or on the back thereof ; and

(ii) at the same time produce to the Registrar a duplicate of the declaration similarly completed and signed :

Provided that the Registrar may at his discretion in any particular case, on the ground of illness or absence abroad of the applicant or on any other ground deemed by the Registrar sufficient, either unconditionally or subject to such conditions as he may think fit, dispense with the necessity for signature of the declaration by the applicant personally and accept a declaration and a duplicate in a form to the like effect which has been duly completed and has been signed by a partner of the applicant or by some other competent person approved by the Registrar.

(b) If in a declaration under this subsection any person makes any false statement, a complaint in respect of that statement may be made by or on behalf of the Society to the Disciplinary Committee.”

(2) The disciplinary enactments shall apply in relation to complaints under paragraph (b) of subsection (1) of section thirty-seven of the principal Act as they apply in relation to applications to the Disciplinary Committee under those enactments.

Substitution of
new forms of
declaration and
practising
certificate.

6. The forms A and B set out in the Second Schedule to this Act shall respectively be substituted for the Forms A and B in the Third Schedule to the principal Act.

Re-enactment
of s. 37 (2) of
principal Act
as to
registration
of certain
particulars
contained in
declaration.

7. The following subsection shall be substituted for subsection (2) of section thirty-seven of the principal Act :—

“(2) The Registrar shall cause the following particulars contained in a declaration (namely)—

(a) the full name of the solicitor ;

(b) his place or places of business ; and

(c) the date of his admission ;

to be entered in a register kept for that purpose and any person may inspect such register during office hours without payment."

8. In subsection (3) of section thirty-seven of the principal Act the word "fourteen" shall be substituted for the word "six" and accordingly the said subsection shall have effect as set out in the Third Schedule to this Act. Amendment of s. 37 (3) of principal Act.

9. The following subsection shall be substituted for subsection (6) of section thirty-seven of the principal Act (which relates to the application of fees in respect of the issue of practising certificates) :— Re-enactment of s. 37 (6) of principal Act.

"(6) Out of every fee received by the Registrar under this section five shillings may be applied by him to his own use and the remainder shall be applied—

(a) in such manner and to such extent as the Society may consider necessary towards the expense of their school in London and the making of grants to approved law schools elsewhere ; and

(b) subject thereto, to such other purposes of the Solicitors Acts, 1932 to 1941, or any statutory modifications thereof as the Society may think fit ;

and the Registrar shall submit annually to the judges mentioned in the last preceding subsection an account of all such fees and of their application, and shall cause a copy of the account to be deposited at the hall of the Society for inspection by any solicitor."

10. The following section shall be substituted for section thirty-eight of the principal Act as amended by section five of the Administration of Justice Act, 1932, section three of the Solicitors Act, 1933, and section eleven of the Solicitors Act, 1936 :— Discretion of Registrar in special cases to refuse practising certificate or issue same subject to terms and conditions. 22 & 23 Geo. 5. c. 55.

"38.—(1) In any of the following cases, that is to say, where a solicitor applies for a practising certificate—

(a) when for twelve months or more he has ceased to hold a practising certificate duly stamped and in force ; or

(b) whilst he is an undischarged bankrupt or a receiving order in bankruptcy is in force against him ; or

(c) when, having been suspended from practice or having had his name struck off the roll, the period of his suspension has expired, or his name has been restored to the roll, as the case may be ; or

53 & 54 Vict.
c. 5.

(d) not having held a practising certificate duly stamped and in force within the twelve months next following the date of his admission to the roll ; or

(e) whilst he is a person to whom the powers and provisions of Part IV of the Lunacy Act, 1890, relating to management and administration apply ; or

(f) without having paid a penalty or costs ordered by the Disciplinary Committee under the Solicitors Acts, 1932 to 1941, to be paid by him ; or

(g) after he has been invited by the Council to give an explanation in respect of any matter affecting his conduct and has failed to give to the Council an explanation in respect of that matter which the Council regard as sufficient and satisfactory, and has been notified in writing by the Council that he has so failed ; or

(h) after having had an order made against him for the issue of a writ of attachment ; or

(i) after having been adjudicated a bankrupt and obtained his discharge or after having entered into a composition with his creditors or a deed of arrangement for the benefit of his creditors ; or

(j) after having had given against him any judgment which involves the payment of moneys other than costs and is not a judgment as to the whole effect of which upon him he is entitled to indemnity or relief from any other person, and without having produced to the Registrar evidence of the satisfaction of such judgment ;

he must, unless the Registrar or the Master of the Rolls otherwise orders, give to the Registrar, at least six weeks before the application is made, notice of his intention to make the application, and the Registrar may in his discretion grant or refuse the application, or decide to issue a certificate to the applicant subject to such terms and conditions as the Registrar may in his discretion think fit and in the last-mentioned case may, if he thinks fit, postpone the issue of the certificate pending the hearing and determination of an appeal under this section :

Provided that—

- (i) in the event of an appeal having been made to the appropriate court in case (b) against the receiving order or in case (h) against the order for the issue of a writ of attachment or in case (j) against the judgment, the Registrar shall not refuse the application during the pendency of such appeal unless in his opinion the

proceedings on such appeal have been unduly protracted by the appellant or are unlikely to be successful; and

- (ii) where, having regard to certain facts, a discretion becomes exercisable by the Registrar in any of the cases (a), (c), (d), (g), (h), (i) and (j), as soon thereafter as a practising certificate has been issued in the exercise of such discretion to the applicant free of conditions, those facts shall cease to operate so as to require such solicitor to give the notice mentioned in this section or to vest any discretion in the Registrar.

(2) Within one month after being notified of the decision of the Registrar, the applicant may appeal against such decision to the Master of the Rolls, who may affirm the decision of the Registrar or may direct him to issue a certificate to the applicant on such terms and conditions as the Master of the Rolls may think fit or free from terms and conditions or not to issue a certificate or, if a certificate has been issued, may by order suspend such certificate until such certificate expires or the suspension is terminated by order of the Registrar or the Master of the Rolls or may make such other order as he may think fit."

11. Adjudication in bankruptcy of a solicitor shall operate immediately to suspend the practising certificate (if any) of such solicitor for the time being in force, and such suspension shall continue in operation until the certificate expires or the adjudication in bankruptcy is annulled and an office copy of the Order annulling the adjudication has been served upon the Registrar or the suspension is terminated by order of the Registrar or the Master of the Rolls under the next following section, whichever shall first happen.

Suspension of practising certificate on adjudication in bankruptcy.

12.—(1) So long as the suspension of the practising certificate of a solicitor under the last preceding section or under section thirty-eight of the principal Act as re-enacted by this Act shall continue in operation, such solicitor shall be deemed to be an "unqualified person" within the meaning given to that expression by section forty-three of the principal Act for the purposes of Part IV of that Act.

Effect and termination of suspension and notification of suspension or of termination thereof.

(2) At any time before the certificate expires and (in the case of adjudication in bankruptcy) the adjudication is annulled, such solicitor may apply to the Registrar to terminate the suspension, and the Registrar in his discretion may decide to terminate by order the suspension unconditionally or subject to such terms and conditions as he may in his discretion think fit or may refuse the application.

(3) If the Registrar shall refuse the application or decide to terminate the suspension subject to any terms or conditions, such solicitor may appeal against such decision to the Master of the

Rolls who may either affirm the decision of the Registrar or by order vary any terms or conditions imposed by the Registrar or terminate the suspension unconditionally or subject to such terms and conditions as he may think fit.

(4) When the practising certificate of a solicitor has become suspended by virtue of his adjudication in bankruptcy or by virtue of an order of the Master of the Rolls, the Registrar shall forthwith cause a notice of such suspension to be published in the London Gazette and shall cause a note thereof to be entered against the name of such solicitor in the Roll.

(5) When the suspension of the practising certificate of a solicitor has been terminated by annulment of the adjudication in bankruptcy of the solicitor and service upon the Registrar of an office copy of the Order annulling the adjudication or by order of the Registrar or the Master of the Rolls under this section, the Registrar shall forthwith cause a note of the termination of the suspension to be entered against the name of such solicitor in the Roll, and, if so requested in writing by such solicitor, cause a notice thereof to be published in the London Gazette.

Amendment
of s. 41 (4) of
principal Act.

13. In subsection (4) of section forty-one of the principal Act (which relates to the date and period of validity of practising certificates) there shall be inserted after the word "following" the words "the date of issue thereof" and accordingly the said subsection (4) of section forty-one shall have effect as set out in the Third Schedule to this Act.

Power to
prohibit taking
of articled
clerk in certain
cases.

14.—(1) In any case in which the Registrar has power in his discretion to refuse the application of a solicitor for a practising certificate, the Society, notwithstanding anything contained in subsection (2) of section two of the Solicitors Act, 1936, may in their discretion by notice in writing to such solicitor prohibit him from taking any articled clerk and thereupon it shall not be lawful for such solicitor to take any articled clerk unless and until such prohibition shall have been withdrawn by the Society.

(2) If any solicitor acts in contravention of a prohibition in force under this section, a complaint in respect of that contravention may be made by or on behalf of the Society to the Disciplinary Committee. The disciplinary enactments shall apply in relation to complaints under this subsection as they apply in relation to applications to the Disciplinary Committee under those enactments.

(3) Service by an articled clerk to a solicitor who has taken him in contravention of a prohibition in force under this section shall not, unless the Society direct otherwise, be deemed to be good service by the clerk under his articles.

(4) In any case where under this section the Society prohibit a solicitor from taking any articulated clerk, they may, if they think fit, of their own motion discharge the articles of any clerk then already articulated to such solicitor upon such terms, including terms as to return of premium, as they think fit, and determine what period (if any) of service by such clerk under his then existing articles shall be deemed to be good service.

15. In subsection (3) of section two of the Solicitors Act 1936, the words "of the production" are hereby repealed and accordingly the said subsection shall have effect as set out in the Third Schedule to this Act.

Amendment of s. 2 (3) of Solicitors Act, 1936, as to registration of articles of clerkship.

16.—(1)

Provisions as to clerk found party to misconduct of solicitor.

(a) Where a person who is or was a clerk to a solicitor but is not himself a solicitor has been convicted of larceny, embezzlement, fraudulent conversion or any other criminal offence in respect of any money or property belonging to or held or controlled by the solicitor by whom he is or was employed or any client of such solicitor; or

(b) where it appears to the Society—

(i) in the course or as a result of any proceedings before the Disciplinary Committee under the disciplinary enactments, or

(ii) in the exercise of their powers under rules made under the Solicitors Act, 1933, or this Act,

that a person, who is or was a clerk to a solicitor but is not himself a solicitor, has been a party to any act or default of such solicitor, in respect of which an application or complaint has been or might be made against such solicitor to the Disciplinary Committee under any enactment,

an application may be made by or on behalf of the Society to the Disciplinary Committee that an order be made directing that as from a date to be specified in such order, no solicitor shall in connection with his practice as a solicitor take or retain the said person into or in his employment or remunerate the said person without the written permission of the Society, which may be given for such period, and subject to such conditions as the Society may think fit.

(2) Such application shall be made to and heard by the Disciplinary Committee in accordance with rules made under this section, and on the hearing of any such application the Committee shall have power to make such order as is referred to in this section and an order as to the payment by any party of costs.

(3) Every order made by the Disciplinary Committee under this section shall be prefaced by a statement of their findings in relation to the facts of the case and shall be signed by the Chairman of the Committee or by a member of the Committee authorised by the Committee to sign the same and any document purporting to be an order so signed shall be received in evidence in any criminal proceedings or in any proceedings under this section or under the disciplinary enactments and be deemed to be such an order without further proof unless the contrary is shown.

(4) Every order made by the Disciplinary Committee under this section shall be filed with the Secretary and the file kept by him for that purpose may be inspected by any solicitor during office hours without payment but shall not be open to the inspection of any person other than a solicitor.

(5) For the purposes of any application made to them under this section, the Disciplinary Committee may administer oaths and the applicant and any person with respect to whom the application is made may sue out writs of subpoena ad testificandum and duces tecum but no person shall be compelled under any such writ to produce any document which he could not be compelled to produce on the trial of an action.

(6) The Disciplinary Committee, with the concurrence of the Master of the Rolls, may from time to time make rules for regulating the making, hearing and determining of applications under this section, including rules as to who shall be parties to any such application, as to the service of any notice or order upon any party, and as to whether any such application shall be heard prior to, in the course of, concurrently with or subsequent to the hearing of any application against a solicitor under the disciplinary enactments.

(7) An appeal against any order made by the Disciplinary Committee under this section shall lie to the High Court, whose decision shall be final, at the instance of the person with respect to whom the order is made and every such appeal shall be made within such time after the service of a copy of the order upon the said person and shall be made in such form and heard in such manner as may be prescribed by regulations made from time to time by the Master of the Rolls with the concurrence of the Lord Chancellor and the Lord Chief Justice or (in the case of difference) of one of them.

(8) Any person who, whilst there is in force in respect of him an order under this section, seeks or accepts employment by or remuneration from a solicitor in connection with his practice as a solicitor without previously informing him of such order, shall on summary conviction be liable for each offence to a fine not exceeding fifty pounds.

(9) Notwithstanding anything in the Summary Jurisdiction Acts, proceedings under the last preceding subsection may be commenced at any time before the expiration of six months after the first discovery of the offence by the prosecutor, but no such proceedings shall be commenced by any person other than the Society or a person acting on behalf of the Society except with the consent of the Director of Public Prosecutions.

(10) If any solicitor knowingly acts in contravention of the provisions of an order of the Disciplinary Committee under this section as made and not appealed against or as confirmed upon appeal, as the case may be, or of the conditions subject to which any such permission as aforesaid has been given by the Society, a complaint in respect of that contravention may be made by or on behalf of the Society to the Disciplinary Committee. The disciplinary enactments shall apply in relation to complaints under this subsection as they apply in relation to applications to the Disciplinary Committee under those enactments.

17. Any appeal to the Master of the Rolls in pursuance of the provisions of this Act shall be made by petition presented in such manner and subject to such regulations as the Master of the Rolls may from time to time direct.

Procedure on
appeals to the
Master of
the Rolls.

18.—(1) The Council shall make rules—

Council to
make rules
as to certain
matters.

(a) as to the opening and keeping by every solicitor who is a sole trustee or who is co-trustee only with a partner, clerk or servant of his or with more than one of such persons of an account at a bank for moneys of any trust of which he is such a sole trustee or co-trustee ;

(b) as to the keeping by every solicitor who is a sole trustee or who is co-trustee only with a partner, clerk or servant of his or with more than one of such persons of accounts containing particulars and information as to moneys received, held or paid by him for or on account of any trust of which he is such a sole trustee or co-trustee ; and

(c) empowering the Council to take such action as may be necessary to enable them to ascertain whether or not the rules are being complied with.

(2) If a solicitor fails to comply with any of the rules made under this section, any person may make a complaint in respect of that failure to the Disciplinary Committee. The disciplinary enactments shall apply in relation to complaints under this subsection as they apply in relation to applications to the Disciplinary Committee under those enactments.

(3) Rules made under paragraph (a) or paragraph (b) of subsection (1) of this section shall not apply to—

- (a) a solicitor acting in the course of his employment as a public officer as defined by section four of the Solicitors Act, 1933 ; or
- (b) a solicitor acting in the course of his employment in an office to which section five of that Act applies ; or
- (c) a solicitor in whole-time employment as an officer of a local authority as defined by section six of that Act acting as such officer.

Amendment
of s. 5 of
principal Act.

19. In subsection (2) of section five of the principal Act (which relates to the powers of the Disciplinary Committee) there shall be inserted after the word " practice " the words " as to payment by him of a penalty not exceeding five hundred pounds (which shall be forfeit to His Majesty) " and after the word " costs " the words " or of such sum as they may consider a reasonable contribution towards costs " and accordingly the said subsection (2) of section five shall have effect as set out in the Third Schedule to this Act.

Amendment
of s. 6 of
principal Act.

20. Section six of the principal Act (which relates to the procedure of the Disciplinary Committee) shall have effect as if it contained an enactment that the rules therein referred to may provide that, where in the opinion of the Disciplinary Committee no prima facie case is shown in favour of an application to the Committee under the disciplinary enactments, the Committee may refuse such application without requiring the solicitor to whom the application relates to answer the allegations and without hearing the applicant.

Amendment
of s. 7 (2) of
principal Act.

21. In subsection (2) of section seven of the principal Act (which relates to the filing, effect and notice of orders made by the Disciplinary Committee) there shall be inserted after the word " practice " the words " or ordered to pay any penalty under subsection (2) of section five of this Act or subsection (2) of section two of the Solicitors Act, 1933," and accordingly the said subsection (2) of section seven shall have effect as set out in the Third Schedule to this Act.

Amendment
of s. 46 of
principal Act.

22. In section forty-six of the principal Act (which relates to the penalty for pretending to be a solicitor) the word " fifty " shall be substituted for the word " ten " and accordingly the said section forty-six shall have effect as set out in the Third Schedule to this Act.

23.—(1) In subsection (1) of section forty-seven and in sections forty-eight and forty-nine of the principal Act (which penalise certain acts when done by persons not duly qualified) before the words "for or in expectation of any fee, gain or reward" there shall be inserted the words "unless he proves that the act was not done".

Amendment
of ss. 47, 48
and 49 of
principal Act.

(2) In section forty-eight of the principal Act there shall be inserted after the figures "1925" the words "or any statutory modification or re-enactment thereof".

(3) Accordingly subsection (1) of section forty-seven and sections forty-eight and forty-nine of the principal Act shall have effect as set out in the Third Schedule to this Act.

24. Where by any order made by the Disciplinary Committee under the disciplinary enactments the name of any solicitor is ordered to be removed from or struck off the Roll or any solicitor is suspended from practice or ordered to pay any penalty or to pay the costs of the proceedings or any part thereof or any contribution towards such costs, the Registrar shall cause a note of the effect of such order to be entered against the name of the solicitor on the Roll.

Effect of
certain orders
of Disciplinary
Committee
to be noted
on Roll.

25. The following subsection shall be substituted for subsection (1) of section twenty-six of the principal Act (which relates to the examinations to be held under the management of the Society):—

Amendment
of s. 26 of
principal Act.

"(1) The Society shall hold in every year such number of preliminary examinations, intermediate examinations and final examinations as the Council at their discretion may from time to time decide."

26.—(1) The following enactments shall have effect as if the Registrar were therein mentioned in place of the Master of the Rolls:—

Transfer to
Registrar
of certain
existing
powers.

(a) Subsection (2) of section sixteen of the principal Act (which relates to the registration of articles of clerkship); and

(b) Subsection (2) of section one of the Solicitors Act, 1936 (which enables the Master of the Rolls to direct that certain service by an articulated clerk shall be deemed to be good service under his articles).

(2) Section twenty-one of the principal Act (which provides that articulated clerks may not take other employment, except with the approval of the Master of the Rolls or a judge of the High Court) shall have effect as if the Registrar were therein

mentioned in place of the Master of the Rolls or a judge of the High Court.

(3) Section twenty-three of the principal Act (which empowers the Master of the Rolls to admit an articled clerk to be a solicitor if he is satisfied as to certain matters therein mentioned) shall have effect as if it empowered the Master of the Rolls to admit an articled clerk to be a solicitor if the Registrar reports to the Master of the Rolls that the Registrar is satisfied as to the said matters.

(4) Section twenty-nine of the principal Act (which relates to exemptions from the preliminary examination) shall have effect as if the power of granting exemptions thereunder were vested in the Registrar instead of in the Master of the Rolls or the Lord Chief Justice.

(5) Subsection (4) of section six of the Solicitors Act, 1936 (which relates to exemptions from the preliminary examination) shall have effect as if the Registrar were therein mentioned in place of the Master of the Rolls and the Lord Chief Justice.

(6) (i) Proviso (b) to subsection (1) of section thirty-two of the principal Act (which relates to the conditions of admission to the final examination) is hereby repealed.

(ii) the words " or on appeal to the satisfaction of the Master of the Rolls " contained in paragraph (b) of subsection (3) of section seven of the Solicitors Act, 1936 (which provides for amendments of section thirty-two of the principal Act as to attendance at a law school before final examination) are hereby repealed.

(7) Section thirty-three of the principal Act (which provides for appeal to the Master of the Rolls in cases of failure to pass an intermediate or final examination) is hereby repealed.

Byelaws and regulations to be amended for conformity with this Act.

27. Notwithstanding the provisions of the Charter, the Council shall make such amendments in any byelaws and regulations of the Society as they may deem necessary in order to bring the same into conformity with the provisions of this Act.

Council to act on behalf of Society.

28. All acts, rules and regulations authorised or required to be done or made by the Society under or in pursuance of this Act or any order, rule or regulation made in pursuance of this Act, may be done or made on behalf of the Society by the Council.

Interpretation.

29. In this Act, unless the context otherwise requires—

22 & 23 Geo. 5.
c. 37.

" The principal Act " means the Solicitors Act, 1932 ;

" The Registrar " has the meaning given to that expression by section one of the principal Act ;

"Solicitor" and "the Roll" have the respective meanings given to those expressions by section eighty-one of the principal Act ;

"Articles" has the meaning given to that expression by section fourteen of the principal Act ;

"Practising certificate" has the meaning given to that expression by section thirty-six of the principal Act ;

"The Society", "the Council", "the Disciplinary Committee" and "costs" have the respective meanings given to those expressions by section eighty-one of the principal Act ;

"The Solicitors' Accounts Rules" means the Solicitors' Accounts Rules, 1935, or other the rules for the time being made and in force under paragraphs (a), (b) and (c) of section one of the Solicitors Act, 1933 ;

"The Charter" means the Royal Charter dated the twenty-sixth day of February one thousand eight hundred and forty-five whereby the Society was incorporated and the Royal Charters supplemental thereto dated respectively the twenty-sixth day of November one thousand eight hundred and seventy-two, the fourth day of June one thousand nine hundred and three and the second day of June one thousand nine hundred and nine ;

"The disciplinary enactments" means the provisions of Part I of the principal Act as amended and extended by the Solicitors Act, 1933, the Solicitors Act, 1936, the Solicitors (Disciplinary Committee) Act, 1939, and this Act ;

2 & 3 Geo. 6.
c. 110.

"Practice year" means the period of twelve months ending on the fifteenth day of November ;

"The Secretary" means the Secretary of the Society and includes any deputy or person appointed temporarily to perform the duties of the office ;

"National service" has the meaning given to that expression by section eight of the Solicitors (Emergency Provisions) Act, 1940 ;

3 & 4 Geo. 6.
c. 15.

The expressions "trust" and "trustee" extend to implied and constructive trusts and to cases where the trustee has a beneficial interest in the trust property, and to the duties incident to the office of a personal representative, and "trustee", where the context admits, includes a personal representative.

30.—(1) This Act may be cited as the Solicitors Act, 1941, and the Solicitors Acts, 1932 to 1939, the Solicitors (Emergency Provisions) Act, 1940, and this Act may be cited together as the Solicitors Acts, 1932 to 1941.

Short title,
collective title,
commence-
ment and
extent.

(2) Sections one and two of this Act shall come into operation on such day or days as the Lord Chancellor may by Order appoint, and the Lord Chancellor may, if he thinks fit, appoint a different day for each of those sections:

Provided that section one shall not come into operation until after the termination of the period during which the Emergency Powers (Defence) Act, 1939, is in force.

Section twenty-seven of this Act shall come into operation on the passing of this Act. Subject to the provisions of this Act, the other sections of this Act shall come into operation on the first day of January nineteen hundred and forty-two.

(3) This Act shall not extend to Scotland or Northern Ireland.

SCHEDULES.

FIRST SCHEDULE.

Section 2.

PROVISIONS WITH REGARD TO THE FORMATION, ADMINISTRATION AND APPLICATION OF THE COMPENSATION FUND AND MATTERS CONNECTED THEREWITH.

1. There shall be carried to the credit of the Compensation Fund—

- (a) all contributions paid to the Registrar in pursuance of the provisions of section two of this Act ;
- (b) all interest, dividends and other income and accretions of capital arising from investment of the Compensation Fund or any part thereof ;
- (c) the proceeds of the realisation of any investments of the Compensation Fund ;
- (d) all moneys borrowed for the purposes of the Compensation Fund ;
- (e) all sums received by the Society under any insurance effected by the Society under section two of this Act ;
- (f) all sums received by the Society under the provisions of subsection (8) of section two of this Act ; and
- (g) any other moneys which may belong or accrue to the Compensation Fund or be received by the Society in respect thereof.

2. All moneys from time to time forming part of the Compensation Fund and all investments of the Compensation Fund shall be applicable as follows :—

- (a) for payment of all costs, charges and expenses of establishing, maintaining, administering and applying the Compensation Fund ;
- (b) for payment of any premiums on insurances effected by the Society under section two of this Act ;
- (c) for repayment of any moneys borrowed by the Society for the purposes of the Compensation Fund and payment of interest on any moneys so borrowed ;
- (d) for payment of any grants which the Society may make in pursuance of the provisions of section two of this Act for any of the purposes mentioned in that section ;
- (e) for payment of all costs, charges and expenses incurred by the Society under or in the exercise of the powers conferred by this Schedule ; and
- (f) for payment of any other sums properly payable out of the Compensation Fund in pursuance of the provisions of section two of this Act, this Schedule or any rules made under section two of this Act.

1ST SCH.
—cont.

3. The Council or any committee appointed by the Council and authorised by them to exercise any of their functions under section two of this Act or to assist them in the exercise of such functions may, for the purposes of inquiry into any matters which may affect the making or refusal of a grant under section two of this Act, administer oaths.

4.—(1) If the Council have reasonable cause to believe that a solicitor or his clerk or servant has been guilty of any such dishonesty as is mentioned in section two of this Act, they may require the production or delivery to any person appointed by the Council at a time and place to be fixed by the Council, and may take possession of all deeds, wills, securities, papers, books of account, records, vouchers and other documents in the possession or control of such solicitor or his firm, or relating to any trust of which he is a sole trustee or is co-trustee only with a partner, clerk or servant of his or with more than one of such persons.

(2) If any person having possession or control of any such deeds, wills, securities, papers, books of account, records, vouchers or documents, refuses or fails forthwith after being required by the Council so to do to produce or deliver the same, or cause the same to be produced or delivered in manner aforesaid, such person shall upon summary conviction be liable to a fine not exceeding fifty pounds and the Council may apply to the High Court or a judge thereof for an order and the Court or a judge thereof may on such application make an order upon such person to produce or deliver the same or cause the same to be produced or delivered in manner aforesaid within such time as the Court or a judge thereof may order.

(3) Upon taking possession of any such deeds, wills, securities, papers, books of account, records, vouchers or documents which shall have been delivered to the Council, the Council shall serve upon such solicitor and every person from whom they shall have been received, a notice giving particulars and the date of taking possession thereof.

(4) Every requirement and notice to be made or given under this paragraph shall be made in writing under the hand of such person as may be appointed by the Council for the purpose. The Council may serve any such requirement or notice on any solicitor or other person as aforesaid personally or by forwarding it by registered letter addressed to his last known place of business or residence.

(5) Within fourteen days after a notice under sub-paragraph (3) of this paragraph has been served in accordance with the last preceding sub-paragraph, the solicitor or other person upon whom such notice has been served as aforesaid may apply to a judge of the High Court in Chambers for an order directing the Council to return such deeds, wills, securities, papers, books of account, records, vouchers or documents to the person or persons from whom the same were received by the Council or to such other person or persons as the applicant may require. On the hearing of such application the judge may make the order applied for or such other order with respect to the matter as he may think fit.

(6) If no application shall be made to a judge of the High Court in accordance with the last preceding sub-paragraph or if the judge to whom such an application is made shall direct that the deeds,

wills, securities, papers, books of account, records, vouchers or documents shall remain in the custody or control of the Council, the Council may make inquiries to ascertain the person or persons to whom the same belong and may deal with the same in accordance with the directions of such person or persons.

1ST SCH.
—cont.

(7) In this paragraph the expression “ securities ” means documents constituting or evidencing the title to any property.

5. If the Council are satisfied that a solicitor or his clerk or servant has been guilty of any such dishonesty as is mentioned in section two of this Act, they may apply to the High Court or a judge thereof for an order, and the Court or a judge thereof may on such application make an order, that no payment shall be made without the leave of the Court or a judge thereof by any banker named in the order out of any banking account in the name of such solicitor or his firm.

6. Every application to a judge of the High Court in Chambers under sub-paragraph (5) of paragraph 4 of this Schedule and every application to the High Court or a judge thereof under sub-paragraph (2) of paragraph 4 or under paragraph 5 of this Schedule shall be made in such form and heard in such manner as may be prescribed by regulations made from time to time by the Master of the Rolls with the concurrence of the Lord Chancellor and the Lord Chief Justice or (in the case of difference) of one of them.

SECOND SCHEDULE.

Sections 5, 6.

FORMS.

A.

DECLARATION FOR OBTAINING PRACTISING CERTIFICATE.

No.

19

I.....hereby declare as follows, that is to say:—

(1) I was admitted a Solicitor of the Supreme Court in the month of in the year and my place(s) of business is/are as follows (a):—

.....
.....
.....

(2) (b) The provisions of section 38 of the Solicitors Act, 1932 (as re-enacted by the Solicitors Act, 1941) do not apply to me

(or)

(b) The provisions of section 38 of the Solicitors Act, 1932 (as re-enacted by the Solicitors Act, 1941) apply to me and I have duly given the notice required by that section.

2ND SCH.
—cont.

(3) (c) I have, to the best of my knowledge and belief, complied with the Solicitors' Accounts Rules for the time being in force (d)

(or)

(c) I am exempt from complying with the Solicitors' Accounts Rules (d) on the following ground :—(e)

.....
.....
.....

(or)

(c) I have not complied with the Solicitors' Accounts Rules (d) in the following respects :—(f)

.....
.....

(4) (g) I have previously to this application held fewer than three/six practising certificates.

Dated this day of 19 .

(Signature).....

To the Law Society.

(a) All places of business if more than one must be stated. If any changes have taken place since last practising certificate, particulars should be given.

(b) Strike out whichever of the two alternative paragraphs does not apply.

(c) Strike out whichever two of the three alternative paragraphs do not apply.

(d) A copy of the Solicitors' Accounts Rules now in force is printed in full on the back of this form.

(e) If exemption from compliance with the Solicitors' Accounts Rules is claimed, state here the ground of exemption, which may be a right of exemption under section four, five, six or seven of the Solicitors Act, 1933.

(f) State the respects in which the Solicitors' Accounts Rules have not been complied with.

(g) Delete if inapplicable or strike out three or six, whichever does not apply. Under section two of the Solicitors Act, 1941, a solicitor is exempt from contributing to the Compensation Fund in respect of his first three practising certificates and is only required to pay one-half of the amount of the annual contribution in respect of each of his next three practising certificates.

B.

PRACTISING CERTIFICATE.

No.

19 .

Pursuant to the Solicitors Acts, 1932 to 1941, the Law Society, as the registrar of solicitors, hereby certifies that.....
Solicitor of the Supreme Court, whose place(s) of business is/are at
.....has left with the said Society a declaration in writing pursuant to the said Acts, and hereby further certifies that

the said solicitor is duly enrolled a solicitor of the Supreme Court, and is entitled to practise as such solicitor on this Certificate being duly stamped as required by law.

2ND SCH.
—cont.

Given under the hand of the Secretary of the Law Society this
day of 19 .

.....
Secretary.

Produced and entered this day of 19 .

* * If this certificate is stamped after the 1st January, it should be
* produced to the Law Society within a month after the payment
of the duty.

If the solicitor is a notary public, the certificate should be entered
at the Faculty Office.

THIRD SCHEDULE.

Sections 8, 13,
15, 19, 21, 22, 23.

SUBSECTION (2) OF SECTION 5, SUBSECTION (2) OF SECTION 7,
SUBSECTION (3) OF SECTION 37, SUBSECTION (4) OF SECTION 41,
SECTION 46, SUBSECTION (1) OF SECTION 47 AND SECTIONS 48
AND 49 OF THE PRINCIPAL ACT, AND SUBSECTION (3) OF
SECTION 2 OF THE SOLICITORS ACT, 1936, AS AMENDED BY
THIS ACT.

Solicitors Act, 1932, section 5 (2).

On the hearing of any such application the Committee shall have power to make any such order as to removing from or striking off the roll the name of the solicitor to whom the application relates, as to suspending him from practice, as to payment by him of a penalty not exceeding five hundred pounds (which shall be forfeit to His Majesty), as to the payment by any party of costs or of such sum as they may consider a reasonable contribution towards costs and otherwise in relation to the case as they may think fit:

Provided that upon proof of the commission of an offence with respect to which express provision is made by any section of this Act, the Committee shall, without prejudice to their power of making an order as to costs, impose the punishment, or one of the punishments, specified in that section.

Solicitors Act, 1932, section 7 (2).

Where by any such order as aforesaid the name of any solicitor is ordered to be removed from or struck off the roll or any solicitor is suspended from practice or ordered to pay any penalty under subsection (2) of section five of this Act or subsection (2) of section two of the Solicitors Act, 1933, the registrar shall forthwith upon the filing of the order cause a notice stating the effect of the operative part thereof to be published in the London Gazette.

3RD SCH.
—cont.

Solicitors Act, 1932, section 37 (3).

Subject to the provisions of the next succeeding section, the Registrar, if satisfied that the name of the applicant is on the Roll, shall, after the expiration of fourteen days from the delivery to him of the declaration, deliver to the applicant or his agent upon demand a practising certificate in the form set out in the Third Schedule to this Act or in a form to the like effect.

Solicitors Act, 1932, section 41 (4).

Every certificate shall continue in force from the day from or on which it has or takes effect in accordance with this section until the fifteenth day of November next following the date of issue thereof (both days inclusive) and shall then expire.

Solicitors Act, 1932, section 46.

Any person, not having in force a practising certificate, who wilfully pretends to be, or takes or uses any name, title, addition or description implying that he is qualified or recognised by law as qualified to act as a solicitor, shall be liable on summary conviction to a penalty not exceeding fifty pounds for each such offence.

Solicitors Act, 1932, section 47 (1).

Any person, not being a barrister, or a duly certificated solicitor, solicitor in Scotland, writer to the signet, notary public, conveyancer, special pleader, or draftsman in equity, who, unless he proves that the act was not done for or in expectation of any fee, gain or reward, either directly or indirectly, draws or prepares any instrument relating to real or personal estate, or any legal proceeding, shall be liable on summary conviction to a fine not exceeding fifty pounds.

Solicitors Act, 1932, section 48.

Any person, not being a barrister, or a duly certificated solicitor, notary public or conveyancer, who, unless he proves that the act was not done for or in expectation of any fee, gain or reward, either directly or indirectly, draws or prepares any instrument of transfer or charge for the purposes of the Land Registration Act, 1925, or any statutory modification or re-enactment thereof, or makes any application or lodges any document for registration under that Act at the registry, shall on summary conviction be liable to a fine not exceeding fifty pounds:

Provided that this section shall not extend to—

- (a) any public officer drawing or preparing instruments and applications in the course of his duty; or
- (b) any person employed merely to engross any instrument or application.

*Solicitors Act, 1932, section 49.*3RD SCH.
—cont.

Any person, not being a barrister, or a duly certificated solicitor, notary public, conveyancer, special pleader, or draftsman in equity, who, unless he proves that the act was not done for or in expectation of any fee, gain or reward, either directly or as an agent of any other person, whether a person qualified as above mentioned or not, takes instructions for or draws or prepares any papers on which to found or oppose a grant of probate or of letters of administration shall, without prejudice to any liability or disability to which he may be subject under any other section of this Act or under any other Act, be liable on summary conviction to a penalty not exceeding ten pounds for each such offence.

Solicitors Act, 1936, section 2 (3).

The Registrar shall refuse to register any articles produced to him under section sixteen of the Solicitors Act, 1932, (in this Act referred to as "the principal Act") unless the articles are accompanied by a consent issued under this section and dated not earlier than six months before the date of the articles.

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